

The Gambling-Wallet Recovery

Full record: thesis · research · courts · position selection — SignalOS desk, 2026-08-11 · principal + desk joint work

The trade in one paragraph. For five weeks this summer the world's table-gambling wallet went to the North-America-hosted World Cup. Macau fell 12% then 8%; Vegas baccarat volume fell 22%; Pennsylvania tables fell 21% — while slot floors everywhere were flat and sportsbooks took a record ~\$50bn of tournament bets. The wallet was conserved, not destroyed, and it is measurably returning: Macau's daily run-rate inflected upward the exact week the final was played and has climbed every week since. The market, reading luck-distorted headlines, cut sector estimates as if the diversion were structural. **The position: WYNN October 105/115 call spreads bought now at the year's cheapest implied volatility (~0.3% of book at risk), with two court-cleared cash follows pre-committed to later gates (LVS on the Sept-1 print, Galaxy on tonight's dividend gates), and a frozen forecast — $p=0.72$ that August beats the +1.3% consensus bar — grading our skill September 1 no matter what.**

1 · THE EVIDENCE CHAIN

The drain — one wallet, three jurisdictions, same month (June YoY):

Venue	Slots	Tables
Las Vegas Strip	ex-baccarat +2.1%	baccarat volume (drop) -22.4%
New Jersey	+1.7%	-6.4% (total take incl. online: +7.9%)
Pennsylvania	-1.3%	-21.0%
Macau	arrivals +4.0%	GGR -12.1% → spend-per-visitor compressed

The receiving side, measured: Flutter — 180M tournament bets, handle +174%, revenue +164% "*amid profit pressure*" (they bought the volume with promos). The Asian wallet is locked out of Western apps (KYC, firewall, capital controls); its channels: China's six-province enforcement campaign during the tournament (the fingerprint of mass underground activity), HKJC's legal football book (annual results land this month), Macau Slot. **The reversal:** Citi — daily GGR +9% w/w in the exact week the tournament ended; JPM August checks — MOP710M→793M/day and climbing, VIP and mass both +10–15% YoY; Seaport — August ~MOP23.2bn (~+4%). **The desk's n=1:** the principal's own wallet diverted to the tournament — the mechanism happened at this desk.

2 · THE ALTERNATIVE EXPLANATIONS, RANKED AND KILLED

Chill-vs-diversion (the principal's challenge): two discriminators rank diversion above enforcement-chill — the recovery began the week the *tournament* ended while the crackdown continued (enforcement has no final whistle), and Pennsylvania's tables are beyond the Ministry of Public Security's reach. VIP (most payment-rail-dependent) is recovering in line with mass. Conceded: chill may own part of June's ~7pp overshoot beyond the 3–5pp historical tournament drag; the low +1.3% bar absorbs it. **Pent-up-demand ruling (principal):** accepted — the one permanent chill in this market (2021's junket abolition) targeted payment rails, and even then demand *rerouted* (Singapore/Manila boomed) rather than died; today's premium mass is the enforcement-resistant survivor. **Rerouting geography (principal's correction, adopted):** the rerouted wallet goes to Singapore/Manila — *not* Las Vegas — so LVS, not WYNN, is the rerouting-insured diversified operator.

3 · THE EMPIRICAL PROGRAM (BUILT THIS SESSION)

Market layer: a generalizable official-statistics registry (DICJ GGR, DSEC arrivals + occupancy — primary endpoints cracked, keyless) now computes **spend-per-visitor monthly** and is wired into every court's prompt; it fired in its first

live dispatch (LVS's bench). First insight: Q2 arrivals +4.0% while GGR was flat — people came, the wallet didn't.

Hold decomposition (607 quarters, 18 property series, primary filings): there is NO cohort-wide hold elevation (cohort $z + 0.10$, $p = 0.73$; six of twelve Macau series sit *below* their own trends). The anomaly is Wynn Palace — **+11 luck-sigma, unexplained** (not cards; whale concentration, undisclosed mix, or a drop-definition change; question posed to the company) — plus Studio City mildly. What is confirmed: structural hold drift at specific operators (MGM +1.36pp/yr, Galaxy +1.18pp/yr, on-trend in H1; MGM quietly deleted its old 16–22% guidance range; Vegas control +0.36pp/yr). Consequences: court luck-normalizations are conservative *floors*; per-property trends replace flat norms in every pack; multi-point hold moves are labeled UNEXPLAINED until identified, never "luck." **The volume-based thesis never depended on hold.**

4 · SEVEN ADVERSARIAL COURTS — THE VERDICT BOARD

Vehicle	Outcome	What survived / died
LVS	ADVANCE, reduced (7/10) — the only cleared entry	Share gain real-but-reduced (+7.6% vs +1.8% market); 9.6× corrected EV. Starter ≤0.5× sleeve gated on Aug GGR ≥ ~MOP21bn (Sept 1) ; tranche 2 on Q3 hold normalization; hard stop on any successor-trust share sale. Rerouting-insured (MBS = the historical rerouting destination).
WYNN	FLAT both ways (8/10)	Cash gated (Sept-1 positive + mass hold ≤26%; \$88–90 price gate); the short also rejected. Capital calendar stacked (UAE draws, 2× 2027 capex, WML convert put). The Oct spread = the sanctioned pre-gate timing tranche. Palace 11σ = open company question.
Galaxy 0027	FLAT into tonight's print; RP_FAIR remanded (7/10)	7.4% earnings yield, 1.64×-covered dividend, HK\$36.5bn net cash. Four gates at the 8/12 interim: mass drop YoY positive · hold decomposed mix-vs-luck · DPS ≥HK\$0.70 · investments breakout; + the 1928/2282/Melco comp table → 0.4% carry envelope.
Sands 1928	REJECT (8/10)	The cohort's true volume winner (mass drop +15%, rolling #1) — but after-tax carry 2.6% fails the 3.5% bar; covered and crowded; concession capex caps deleveraging. Re-court: Sept-1 spend-per-visitor + Q3 margins.
Wynn Macau 1128	REJECT (8/10)	The torque leg died on primary data: mass drop +3%, VIP –32%, dividend blocked by concession capex at 3.7× with the 2029 convert. No listed options exist. Reopen only via the 8/19 interim trigger (DPS ≥HK\$0.185 + an Enclave funding plan ≤3.5×).
MSC	FLAT, hard 3-gate (both benches 8/10)	Damage-present-masked-by-hold (drop –2.4% into a +7% market). Wed 8/13: volume ≥\$958M AND hold ≤34.5% AND EBITDA ≥\$76M — pass = the levered-stub option; volume declines again = kill (6.4× leverage, 2032 clock).
MLCO	triage re-running	At its 52-week low while the cohort bounced 10–17% — cause-check decides laggard-torque vs idiosyncratic damage. Options barred at the 98th IV percentile (earnings-week premium).

Five courts caught five hold-flattered headlines; the volume-vs-hold decomposition detector fired 5-for-5 and is now mandatory on every casino claim. The mechanism survived every court; every cash vehicle was gated — that asymmetry chose the instrument.

5 · EDGE, AND ITS EXPIRATION DATE

For: (1) decomposition discipline — the desk grades volume and per-property trend where the street grades GGR and adjusted EBITDA; (2) cross-venue wallet conservation — nobody in print triangulates Macau × Vegas baccarat drop × sportsbook handle; (3) weekly resolution — the tournament-close inflection was readable a month before the print. **Against:** the channel checks are public and syndicated; the names are 10–17% off their lows; June's overshoot leaves room for genuine softness (the MS/Jefferies cuts may be partly right); and — the sharpest risk, the principal's framing — **the edge decays every Monday** as the weekly checks convert our forecast into consensus. Being right on September 1 is worth nothing bought on August 29. **The control group:** if the sportsbooks *retain* the diverted cohort (Flutter Q3 pack armed; Entain reads Wednesday), part of Macau's recovery never arrives — the one scenario that breaks the magnitude, instrumented.

6 · POSITION SELECTION — THE SCORED MATRIX

Option	Timing-edge capture	Court status	Convexity	Max loss	Notes
A — WYNN Oct 105/115 call spreads, now THE PICK	The only monetizer of the decaying lead	Sanctioned pre-gate tranche	2.5–3.5×	Premium only (~0.25–0.3% of book)	IV 30.7% vs 34.4% realized — the year's floor; expires before Wynn's earnings; bounded sector beta is the honest cost
B — LVS starter at the Sept-1 gate	None (enters at the evidence)	Court-cleared	Linear	Starter drawdown	Pack armed to auto-propose on Aug ≥ MOP21bn; trust-sale hard stop standing

C — Galaxy carry after tonight	None	Remanded, 4 gates	None (carry)	0.4% cap	~4.6% yield on net cash if the gates + comps pass
D — MSC after Wednesday's gate	None	Hard 3-gate	Highest (levered stub)	Position	Only if all three conditions print
E — nothing until Sept 1	Forfeited	—	—	—	The frozen call still grades us

Structure economics (model prices at the live surface; re-anchor at the US open): Oct 105/115 ≈ **\$2.84** → \$7.00 at \$112 / \$10.00 max at ≥\$115 (+253%). 8–10 spreads ≈ \$2.5–2.8k premium; full win ≈ +60–75bps of book, full loss ≈ –28bps. We are long WYNN delta (~3% notional-equivalent, floored), long a little vega at the annual low, **short the tail above \$115** (selling the part of the distribution we don't claim to predict) and short time. Conditional win probability ≈ 0.55–0.60 after beta-path haircuts (below the 0.72 gate probability — stated plainly), covered by the payoff with margin. Optional: Nov 105/120 at half weight (~\$4.09) to ride the Q3 print and the structural-hold branch where the \$115 cap gets tested.

7 • EXECUTION, KILLS, CALENDAR

To stage A: principal ratifies net-debit spreads as outside the no-premium-selling rule → live quotes at Tuesday's open → limit at mid, no chase past ~\$3.20. **Kills:** Monday checks fading → no adds, review; Sept-1 ≤ +1.3% → exit remaining value, call grades UNFAVORABLE, sleeve closes to new entries; post-tournament enforcement escalation → chill revives, stand down. **Calendar:** Tue — Galaxy print (option C) + MLCO window · Wed — MSC gate, Entain control-group read · ~this week — PA/NJ July tables, HKJC results · Mondays — the JPM/Citi drip · **Sept 1 — the gate** (GGR vs +1.3% and spend-per-visitor on flat arrivals; hold-direction demoted post-decomposition) · Oct 1–7 — Golden Week · late Sept — Nevada August (July is tournament-confounded).

8 • WHAT THE DESK KEEPS REGARDLESS OF P&L

Encoded this session: **tournament_wallet_rotation** (the calendar-anchored two-leg trade, pre-position windows named for Euro 2028 and WC 2030) · **volume_vs_hold_decomposition** hardened by 607 quarters of fitted evidence (per-property trends, luck floors, the UNEXPLAINED label) · the official-statistics market layer serving every future tourism/consumption thesis · the sportsbook control group · five accepted detectors from the courts. The thesis's falsifiers are all dated; the frozen call grades our forecasting either way. That knowledge is the product; the trade is the byproduct that pays for it.

Provenance: MACAU_WALLET_THESIS_20260810.md (full addenda trail incl. principal corrections) · MACAU_WALLET_PITCH_DECK_20260810 v3 · seven court artifact sets in desk/data/court_artifacts/ · desk/data/macau_hold_series.json · packs: MACAU-GGR|09-01 (frozen 0.72), LVS|09-01, WYNN|09-01, 0027.HK|08-12, 1128.HK|08-19, MSC|08-13, FLUT|11-12 (control group). Palette: Stora Enso-inspired. All prices as marked; option costs model-theoretical pending chain recovery.